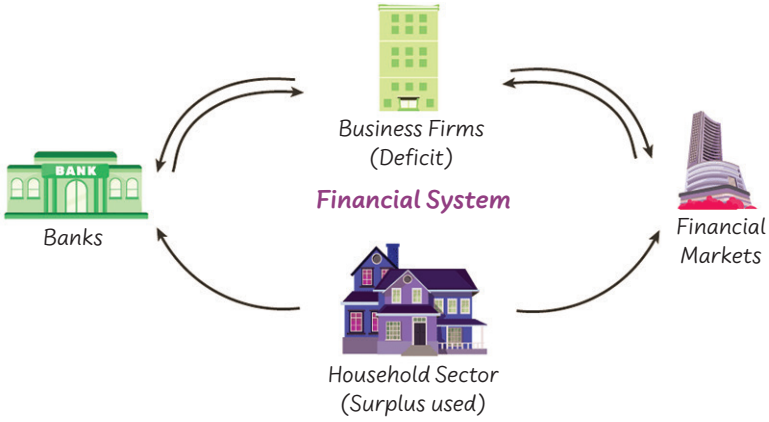
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CHAPTER

Financial Market

FINANCIAL MARKET

A **Financial Market** serves as a link between savers (surplus units) and borrowers (deficit units), facilitating the allocation of capital. It helps in creating and exchanging financial assets through two main channels: **Banks** and **Financial Markets**.

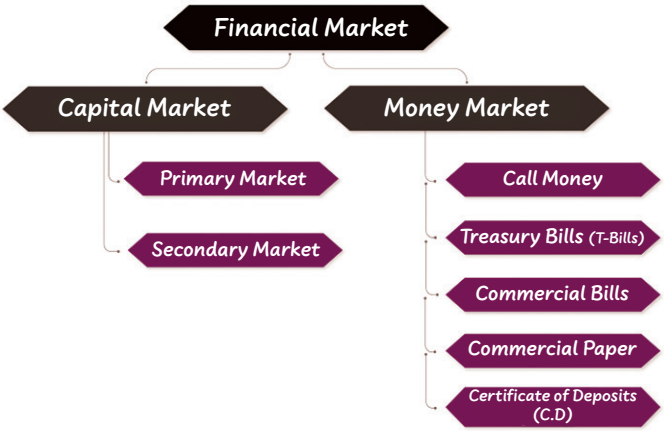


Functions of Financial Markets

1. **Price Discovery:** Determines asset prices based on demand and supply.
2. **Mobilization of Savings:** Channels savings into productive investments.
3. **Liquidity Provision:** Allows easy conversion of securities into cash.
4. **Transaction Cost Reduction:** Provides essential market information to investors.



Classification of Financial Markets



MONEY MARKET

Meaning

The Money Market is a financial market for short-term funds (up to one year), primarily used for financing working capital. It involves short-term lending, borrowing, and trading of securities that mature within a year.

Key Features

1. *Deals with short-term financial instruments.*
2. *No fixed geographical location.*
3. *Common instruments include Call Money, Commercial Bills, T-Bills, Commercial Paper, and Certificates of Deposits.*
4. *Major participants: LIC, GIC, RBI, and Commercial Banks.*

The money market plays a crucial role in maintaining liquidity and stability in the financial system.

Instruments of the Money Market

1. **Call Money:** *Short-term borrowing/lending (1 to 15 days) mainly among banks to meet liquidity needs. The interest rate (call rate) is highly volatile.*
2. **Treasury Bills (T-Bills):** *Short-term government securities (14 to 364 days) issued by RBI at a discount and repaid at face value, considered the safest investment.*
3. **Commercial Bills:** *Trade-related credit instruments used in business transactions, typically maturing within 90 days. Easily transferable and discountable at banks.*

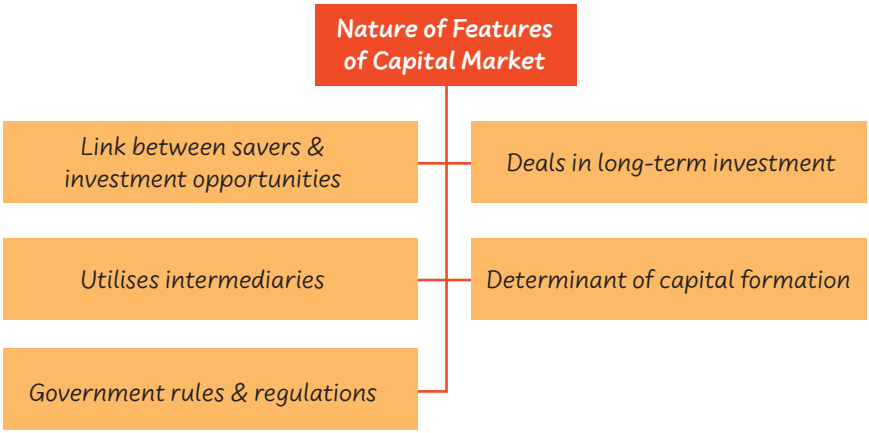
4. **Commercial Paper (C.P.):** *Unsecured promissory notes issued by reputable companies for 15 days to 1 year, used to meet short-term financial needs like floatation costs.*
5. **Certificate of Deposits (C.D.):** *Negotiable, bank-issued instruments (91 days to 1 year) used by companies and individuals during liquidity shortages.*

CAPITAL MARKET

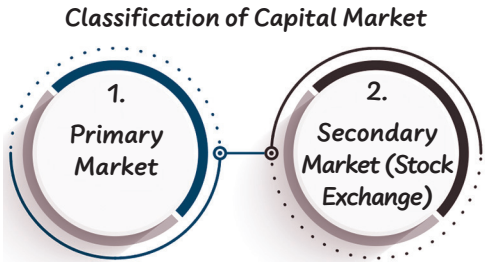
A capital market provides medium- and long-term funds for businesses and governments, excluding short-term financing. It includes institutions and instruments like shares, debentures, bonds, and mutual funds.

Features of Capital Market

1. **Link Between Savers and Investors:** *Transfers savings to productive investments.*
2. **Long-Term Investments:** *Deals in funds with a tenure of more than one year.*
3. **Intermediaries Involved:** *Uses brokers, underwriters, and depositories.*
4. **Determines Capital Formation:** *Encourages savings and investments.*
5. **Regulated by Government:** *Functions under rules like SEBI regulations.*



Types of Capital Market

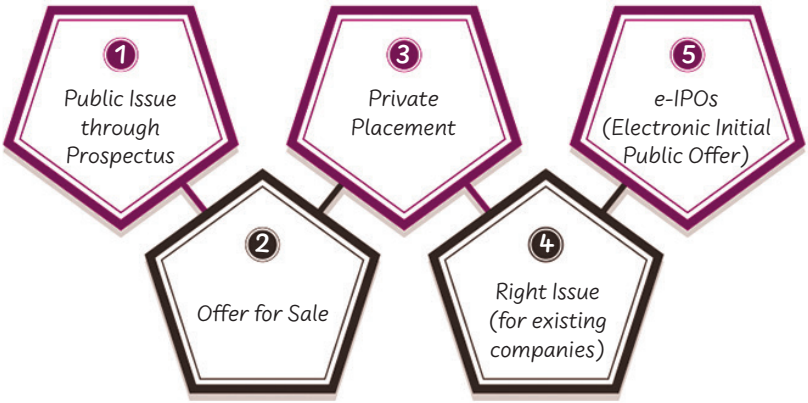


A. PRIMARY MARKET (NEW ISSUE MARKET)

*The **Primary Market** is where securities are issued for the first time by companies to raise capital for business expansion. It directly contributes to capital formation by funding investments in assets like land, buildings, and machinery.*

Methods of Floatation in the Primary Market

Method of Floatation of Securities in Primary Market



1. ***Public Issue through Prospectus:*** *Companies issue a prospectus to attract the general public to invest through an **Initial Public Offering (IPO)**.*
2. ***Offer for Sale:*** *Companies sell securities to intermediaries (brokers), who then sell them to the public at a higher price.*
3. ***Private Placement:*** *Securities are sold to selected investors like LIC, UTI, and insurance companies, saving costs for small businesses.*
4. ***Right Issue:*** *Existing shareholders get priority to buy new shares in proportion to their current holdings.*
5. ***e-IPO (Electronic Initial Public Offer):*** *Securities are issued electronically via stock exchanges, involving registered brokers for efficient distribution.*

B. SECONDARY MARKET

*The **Secondary Market** is where previously issued securities (both new and old) are bought and sold among investors. Unlike the **Primary Market**, companies do not directly issue securities here. Instead, existing investors trade securities with new investors through intermediaries known as **brokers**.*

Key Features of the Secondary Market

- *Facilitates liquidity by allowing investors to buy and sell securities.*
- *Prices fluctuate based on demand and supply.*
- *Transactions take place on stock exchanges or over-the-counter (OTC) markets.*
- *Helps in price discovery and market efficiency.*

*The **Secondary Market** plays a crucial role in providing investors with an exit route while enabling continuous trading of financial instruments.*

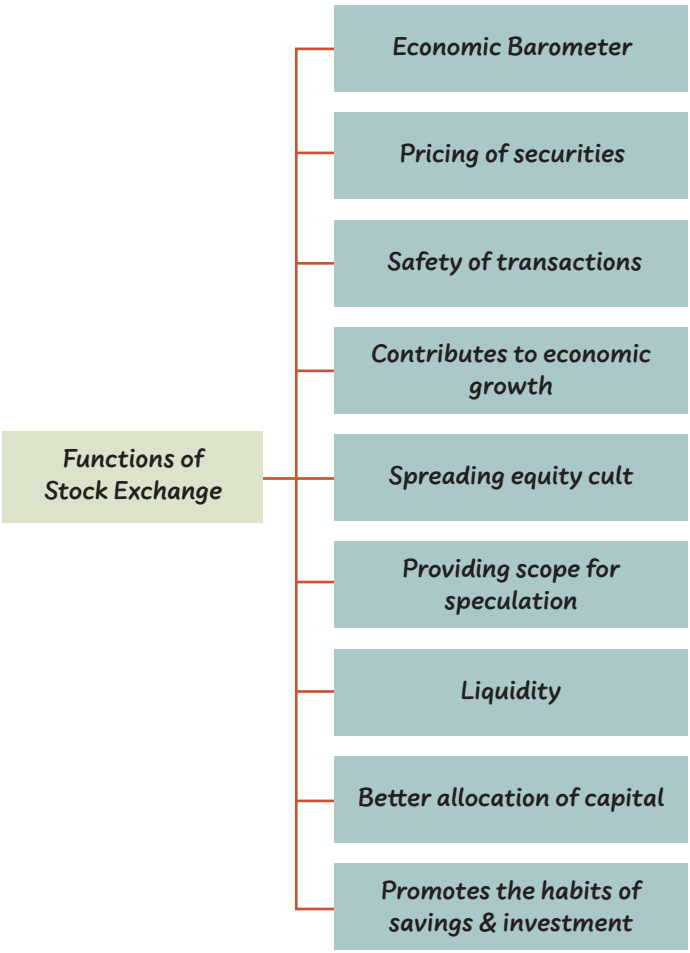
Difference between Money Market and Capital Market

Basis	Money Market	Capital Market
Meaning	*A market for short-term funds (up to 1 year).*	*A market for medium and long-term funds.*
Participants	*Banks, financial institutions, foreign investors, companies.*	*Banks, financial institutions, foreign investors, retail investors, companies.*
Duration	*Short-term securities (maximum 1 year).*	*Medium and long-term securities.*
Instruments	*Call money, commercial bills, T. Bills, commercial paper, CDs.*	*Debentures, equity shares, bonds, preference shares, etc.*
Investment Outlay	*Expensive instruments, large financial investment required.*	*Low-value securities, less financial investment required.*
Liquidity	*Highly liquid securities.*	*Less liquid compared to money market, but still relatively liquid due to the stock exchange.*
Safety	*Safe and less risky due to short duration and issuer soundness.*	*Riskier, with potential for failure of issuing companies.*

STOCK EXCHANGE

The Securities Contract and Regulation Act defines a Stock Exchange as an organization or body of individuals established to assist, regulate, and control the buying, selling, and dealing of securities.

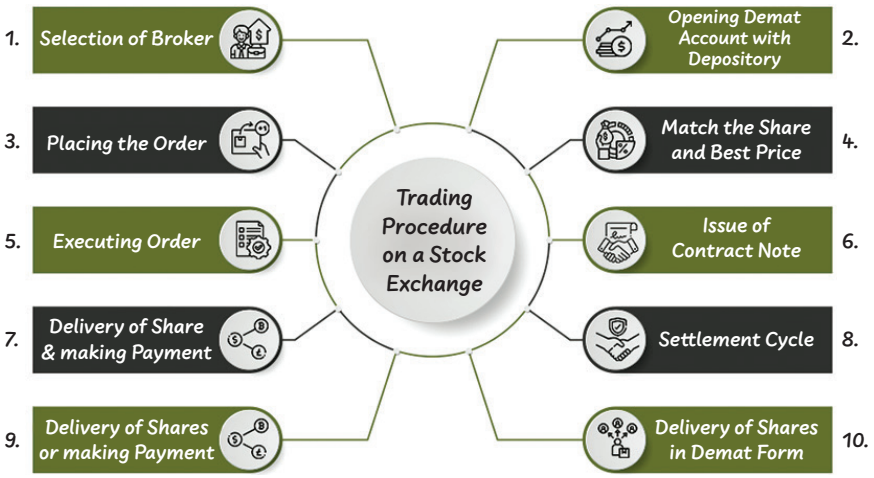
Functions of a Stock Exchange



1. **Economic Barometer:** *Reflects the economic conditions of a country through stock price movements.*
2. **Pricing of Securities:** *Determines security values based on demand and supply, benefiting investors, creditors, and the government.*
3. **Safety of Transactions:** *Ensures only listed companies with sound financials trade under strict regulations.*
4. **Contributes to Economic Growth:** *Facilitates reinvestment, leading to capital formation and economic development.*
5. **Spreading of Equity Cult:** *Encourages public investment in ownership securities through regulation and education.*

6. **Providing Scope for Speculation:** *Permits healthy speculation to maintain liquidity and market activity.*
7. **Liquidity:** *Allows investors to convert investments into cash, encouraging long-term investments.*
8. **Better Allocation of Capital:** *Directs funds toward profitable companies, ensuring efficient capital utilization.*
9. **Promotes Savings & Investment:** *Encourages individuals to invest in securities rather than unproductive assets like gold or silver.*

TRADING PROCEDURE ON A STOCK EXCHANGE (SOPES)



The trading procedure involves the following steps:

1. **Selection of Broker:** *Investors must trade through SEBI-registered brokers who open a trading account after completing a client registration form.*
2. **Opening a Demat Account:** *Investors must open a* **Dematerialized (Demat) Account** *with a* **Depository Participant (DP)** *to hold securities in electronic form. Depositories include* **NSDL and CDSL**.
3. **Placing the Order:** *Investors place buy or sell orders with brokers via phone, email, or online platforms, specifying the price range.*
4. **Matching Best Price:** *The broker connects to the stock exchange to find the best price for the securities.*
5. **Executing the Order:** *When the specified price is available, the trade is executed electronically, and the investor receives a* **trade confirmation slip**.
6. **Issue of Contract Note:** *Within 24 hours, the broker issues a* **contract note**, *detailing transaction specifics, price, and brokerage fees.*

7. **Delivery & Payment:** *The investor must deliver sold shares or make payments for purchased shares before* **Pay-In Day**.
8. **Settlement Cycle:** *Transactions follow a* **T+1 rolling settlement cycle** *(formerly T+2), meaning settlement occurs the next business day.*
9. **Payout Day:** *The stock exchange transfers funds or securities to the broker, who must settle with the investor within* **24 hours**.
10. **Share Delivery in Demat Form:** *The broker transfers purchased securities directly into the investor's* **Demat Account**.

DEMATERIALISATION AND DEPOSITORIES

1. Dematerialisation (Demat)

Dematerialisation is the process of converting physical securities (such as shares, bonds) into electronic form. Investors must open a **Demat Account** *with a* **Depository Participant (DP)** *to hold securities digitally.*

Benefits of Dematerialisation

- *Eliminates risks of loss, theft, or forgery of physical certificates.*
- *Reduces paperwork and enhances transaction speed.*
- *Shares can be easily pledged for loans.*
- *Securities of multiple companies can be held in a single account.*
- *Provides convenience similar to a bank account.*

2. Depository System

A **depository** *is an institution that holds securities in electronic form on behalf of investors. It facilitates the transfer of securities and ensures secure transactions.*

Features of Depositories

- *Hold securities like shares and debentures in electronic form.*
- *Operate through* **Depository Participants (DPs)**, *such as banks and brokers.*
- *SEBI regulates depositories and DPs.*
- *Enable electronic settlement of securities and provide nomination facilities.*
- *Issue bonus shares in digital format.*

Major Depositories in India

- *NSDL (National Securities Depository Ltd.)*
- *CDSL (Central Depository Services Ltd.)*

3. Working of the Demat System

- Investors select a **Depository Participant (DP)** and open a **Demat Account**.
- Physical shares are submitted for conversion into electronic form.
- If shares are bought via an IPO, they are credited to the Demat account directly.
- If shares are sold, the DP is instructed to debit the investor's account.
- Settlement follows the **T+1 cycle**, meaning transactions are settled the next business day.

4. Constituents of the Depository System

1. **Depository:** The central institution managing securities.
2. **Depository Participant (DP):** Acts as an intermediary between investors and the depository. Investors interact with DPs to trade electronic shares.

Stock Exchange Indices

- **Sensex:** The Bombay Stock Exchange (BSE) Index, based on 30 key stocks.
- **Nifty:** The National Stock Exchange (NSE) Index, based on 50 key stocks.

Demutualization of Stock Exchanges

Demutualization refers to separating the ownership and control of stock exchanges from trading members (brokers). This prevents conflicts of interest and ensures transparency in stock exchange operations.

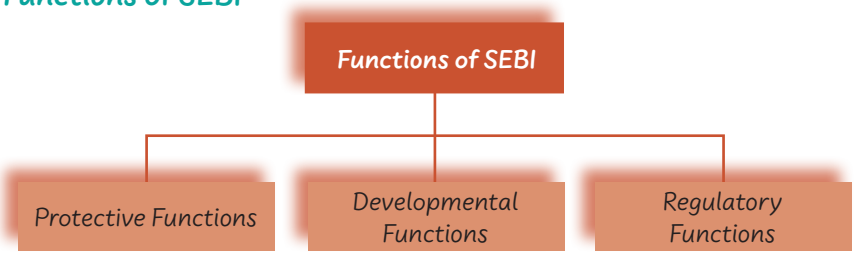
SECURITIES AND EXCHANGE BOARD OF INDIA (SEBI)

The Securities and Exchange Board of India (SEBI) was established in 1988 to regulate the Indian securities market and protect investor interests. Initially, SEBI acted as a watchdog, but it gained legal authority in 1992.

Objectives:

- Regulate stock market activities.
- Safeguard investors' rights and investments.
- Prevent fraudulent practices and ensure ethical business conduct.

Functions of SEBI



Function Type	Key Activities
Protective Functions	❑ **Price Rigging:** *Prohibits price manipulation to protect investors.* ❑ **Insider Trading:** *Monitors and takes action against misuse of confidential information.* ❑ **Fraud Prevention:** *Prevents companies from misleading investors.* ❑ **Investor Education:** *Conducts educational programs on market practices and risks.* ❑ **Fair Practices:** *Enforces ethical standards in the securities market.*
Developmental Functions	❑ *Promotes training for market intermediaries.* ❑ *Encourages stock exchange activities, such as internet trading.* ❑ *Reduces costs for companies (e.g., optional underwriting for stock issues).*
Regulatory Functions	❑ *Regulates intermediaries like brokers and underwriters.* ❑ *Conducts audits and inquiries to maintain transparency.* ❑ *Manages mutual funds and regulates private placements and corporate takeovers.*

Basic Stock Market Terms

Term	Description
Stock Market Index	*Measures market conditions and price fluctuations of stocks. Key indices in India: Sensex (BSE) and Nifty (NSE).*
Sensex	*The benchmark index of BSE, consisting of shares from 30 major companies. A rising Sensex indicates a healthy market and investor optimism.*
Listed Securities	*Securities approved for trading on a stock exchange. Companies must get permission from the exchange based on their credentials.*
Share Certificate	*A document issued to individuals holding specified numbers of shares, proving ownership.*
Bourses	*Another term for the stock exchange.*
Badla	*A facility that allows transactions to be carried forward to the next settlement period, with a premium (Badla Charges) paid for the delay.*

Bull	*A speculator who expects stock prices to rise and buys securities to sell later at a higher price. Known as Teziwala in India,*
Bear	*A speculator who expects stock prices to fall and sells securities with the aim of buying them back at a lower price. Known as* **Mandiwala** *in India.*
Odd Lot Trading	*Trading in stocks in quantities less than 100 shares, known as odd lots.*
Penny Stocks	*Stocks with very low market value, often contributing to speculative trading.*
Price Rigging	*The manipulation of market prices to artificially inflate or deflate the value of securities, which SEBI aims to prevent to protect investors.*
Insider Trading	*The illegal practice of trading on the stock market using confidential, price-sensitive information not available to the public. SEBI monitors and controls it.*

National Stock Exchange of India (NSEI)

Aspect	Details
Incorporation	*Established in 1992. began operations in 1994.*
Ownership	*Set up by financial institutions, banks, insurance companies, and other intermediaries. Managed by professionals from promoter institutions.*
Objectives	**1.** *To establish a nationwide trading facility for all types of securities.* **2.** *Achieve international standards.* **3.** *Provide equal access to investors.* **4.** *Ensure shorter settlement cycles.* **5.** *Provide a fair, efficient, and transparent trading platform.*
Market Segments	**1.** **Whole Sale Debt Market:** *Trading in fixed income securities like bonds. Treasury Bills, and Government Securities.* **2.** **Capital Market:** *Trading in equity shares, debentures, ETFs. etc.*
Clearing and Settlement	**Settlement cycle: T+2 days** *(T is the trade date). Managed by* **NSCCL (National Securities Clearing Corporation Ltd.)**. *Settlement guarantee fund of* ₹*300 crores.*

Key Features	1. **Nationwide Coverage:** No geographical barriers. 2. **Screen-Based Trading:** Electronic transactions through a computer network. 3. **No Trading Floor:** Transactions occur electronically, not on a physical floor.

Over the Counter Exchange of India (OTCEI)

Aspect	Details
Incorporation	Established in 1990 under the Companies Act 1956, trading commenced in 1992.
Ownership & Promotion	Promoted by ICICI, IDBI, LIC, SBI, IFCI, GIC Capital Markets, and Bank Financial Services.
Trading Nature	Fully computerized, transparent, and operates without a specific geographical location.
Objectives	1. Provide quicker liquidity to securities at a fixed price. 2. Offer easier and cheaper methods for public sale of new issues. 3. Provide liquidity for smaller companies. 4. Simplify the process of buying and selling securities.
Trading Process	1. Go to an OTC counter. 2. Check quotes on the computer screen. 3. Buy or sell based on the desired price.
Key Features	1. **Smaller Companies:** Provides a platform for less liquid or smaller companies. 2. **Liquidity:** Helps with liquidity for less traded securities. 3. **Cost-Effective:** Cheaper for companies to issue securities. 4. **Transparency:** Screen-based trading ensures transparency.
Advantages	1. Platform for smaller companies to trade. 2. Cheapen and simpler method for companies to go public. 3. Transparent market with direct dealer contact. 4. Easier for investors to select stocks in primary and secondary markets. 5. Reduced costs for investors and companies.